

20 Jul 2026 02:18:43 ET | 13 pages

China Automation and Machinery

China Tower Crane Shipment YoY Turned Positive for the First Time Since Jul-23

CITI'S TAKE

Construction machinery: CCMA (China Construction Machinery Association) recently reported China domestic tower crane shipment grew by 11% YoY in Jun-26, which is the first time of YoY growth after Jul-23 (excl. those due to CNY low base) and the last construction machine to show YoY demand growth. This indicates that China tower crane demand has bottomed out although it doesn't necessarily suggest strong demand improvement from the property or infrastructure sectors (~70% of tower crane demand comes from the property sector). However, amid negative market sentiment caused by recent global AI sell-off, we believe that China construction machinery sector with strong operating data points to support appears defensive to investors. Our machinery OEM pecking order after ex-dividend dates is **Sany-H (6031.HK) > Sany-A (600031.SS) > Zoomlion (1157.HK)**.

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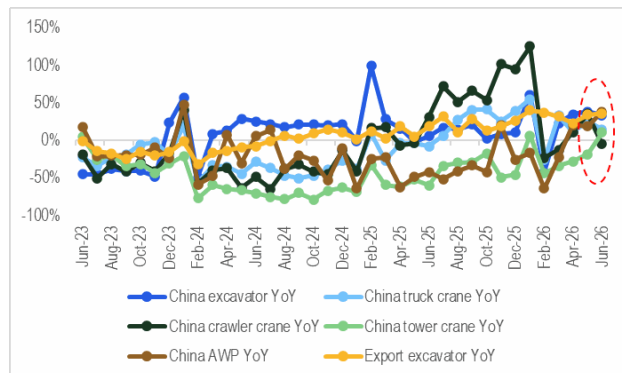
More operating data points - China's largest tower crane leasing firm Pangyuan released the latest tower crane leasing rate index at 422 (2016 base: 1,000), up 2% YoY and 14% above the same period last year. However, its tower crane fleet utilization rate has declined YoY for four consecutive months (from Mar-26 to Jun-26), showing no evidence of construction activity recovery. CCMA also reported Jun-26 China construction machinery utilization rate at 51.1%, down 5.8pp YoY and down 1.3pp MoM. **Hengli Hydraulic (601100.SS)**: The excavator cylinder production volume could be 73k-75k in Jul-26, up >40% YoY, driven by strong demand for mid size excavators, which we believe is coming more from its main US client.

What's next? - On the factory automation side, we will host a business update call (Mandarin) with Estun (002747.SZ) at 4:00pm HKT, 21 July (Tuesday). Please click [HERE](#) to sign up.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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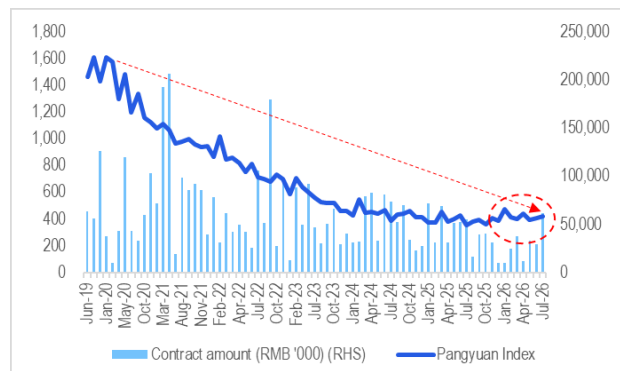
Figure 1. YoY: Shipments of key construction machines



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Source: Citi Research, CCMA

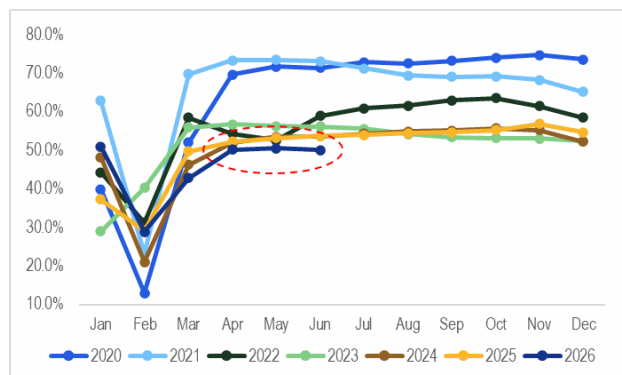
Figure 2. China tower crane leasing rate vs. contract amount



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Source: Citi Research, Pangyuan

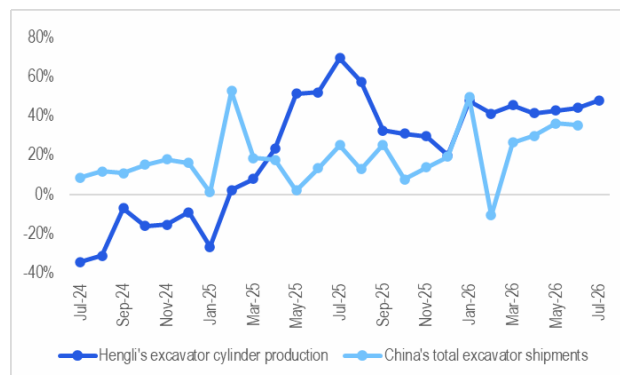
Figure 3. China tower crane fleet utilization rate



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Source: Citi Research, Pangyuan

Figure 4. YoY: Hengli's excavator cylinder production vs. China total excavator shipment



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Source: Citi Research, Company Reports, CCMA

Hengli Hydraulic

(601100.SS; Rmb103.51; 1; 17 Jul 26; 15:00)

Valuation

Our target price for Hengli of Rmb160.0 is based on 50x 2027E P/E, which is equal to its average P/E + 0.5x SD, to reflect its strong core business and potential re-rating due to rising humanoid robot exposure.

Risks

Key fundamental downside risks include: 1) weaker demand for excavator and non-excavator components; 2) weaker profitability of ball screw and Mexico plants due to weaker economies of production scale; and 3) lower-than-expected GPM on favorable product mix change. Any of these risk factors could cause the stock to deviate from our target price.

Sany Heavy

(6031.HK; HK\$18.28; 1; 17 Jul 26; 16:10)

Valuation

Our TP of HK\$29.0 is based on 2.5x 2026E P/B, derived from 2026E ROE (11.4%) and the average P/B over ROE (~22x) over the past three years. Our P/B multiple for Sany reflects its improving ROE stemming from cost discipline and a cycle turnaround.

Risks

Key downside risks that could impede the share price from achieving our target price include: 1) weaker machinery demand recovery due to lower-for-longer property and infrastructure FAI; 2) worse-than-expected GPM; 3) weaker-than-expected export sales growth; and 4) a weak global economy.

Sany Heavy Industry

(600031.SS; Rmb18.65; 1; 17 Jul 26; 15:00)

Valuation

Our TP of Rmb26.0 is based on 2.5x 2026E P/B, derived from 2026E ROE (11.4%) and the average P/B over ROE (~22x) over the past three years. Our P/B multiple for Sany reflects its improving ROE stemming from cost discipline and a cycle turnaround.

Risks

Key downside risks that could impede the share price from achieving our target price include: 1) weaker machinery demand recovery due to lower-for-longer property and infrastructure FAI; 2) worse-than-expected GPM; 3) weaker-than-expected export sales growth; and 4) a weak global economy.

Zoomlion Heavy Industry

(1157.HK; HK\$6.81; 1; 17 Jul 26; 16:10)

Valuation

Our target price for Zoomlion shares of HK\$10.8 is based on 1.4x 2026E P/B, set at its long-term average + 1.0x SD. We apply a premium P/B multiple to reflect our views on Zoomlion's better fundamental outlook, cash dividend upside, and potential value accretion from its emerging humanoid robot business.

Risks

Fundamental downside risks that could impede the shares from reaching our target price include: 1) weaker-than-expected mid-to-late cycle machinery demand; 2) worse-than-expected gross profit margins; 3) higher-than-expected credit impairment loss; and 4) weak macroeconomic conditions in China or other key markets.

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Appendix A-1

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IMPORTANT DISCLOSURES

Sany Heavy Industry (600031.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



Date	Rating	Target Price	Closing Price
1 06-Sep-23 21:00:00	*1	*23.90	16.78
2 05-Dec-23 12:40:50	*2	*14.00	13.29
3 14-May-24 05:36:13	*1	*23.00	16.93

Date	Rating	Target Price	Closing Price
4 19-Sep-24 02:30:09	1	*18.40	15.68
5 31-Oct-24 05:19:26	1	*22.00	18.25
6 09-Mar-25 17:40:09	1	*24.00	19.86

Date	Rating	Target Price	Closing Price
7 22-Aug-25 08:54:19	1	*25.00	21.30
8 31-Oct-25 13:44:26	1	*28.00	22.14
9 31-Mar-26 23:04:20	1	*26.00	19.22

*Indicates Change

Rating/target price changes above reflect Eastern Time

Hengli Hydraulic (601100.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



Date	Rating	Target Price	Closing Price
1 03-Sep-23 11:12:07	1	*80.00	64.08
2 16-Oct-23 11:50:01	1	*74.00	59.56
3 07-Nov-23 17:22:26	1	*68.00	57.30
4 23-Apr-24 06:18:54	1	*59.00	51.24

Date	Rating	Target Price	Closing Price
5 27-Aug-24 09:15:53	1	*62.00	48.12
6 29-Apr-25 11:21:40	1	*85.00	73.71
7 26-Aug-25 10:25:10	1	*105.00	86.90
8 18-Dec-25 11:38:03	1	*135.00	105.00

Date	Rating	Target Price	Closing Price
9 22-Apr-26 11:42:00	1	*125.00	101.08
10 11-Jun-26 23:42:55	1	*160.00	122.51

*Indicates Change

Rating/target price changes above reflect Eastern Time

Zoomlion Heavy Industry (1157.HK)

Ratings and Target Price History Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	19-Sep-23 13:23:02	1	*5.40	3.97
2	21-Feb-24 09:24:00	1	*6.40	5.05
3	01-Apr-24 03:57:43	1	*6.60	4.85

*Indicates Change

	Date	Rating	Target Price	Closing Price
4	04-Sep-24 02:52:58	1	*6.50	3.90
5	19-Sep-24 00:39:35	*2	*3.80	3.87
6	31-Oct-24 13:07:46	2	*5.30	5.30

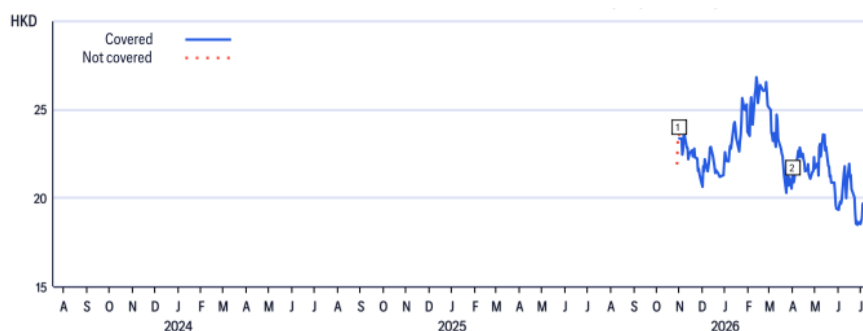
	Date	Rating	Target Price	Closing Price
7	25-Mar-25 09:45:34	2	*6.40	6.12
8	02-Jan-26 07:40:07	*1	*10.20	7.68
9	31-Mar-26 13:52:42	1	*10.80	8.65

Rating/target price changes above reflect Eastern Time

Sany Heavy (6031.HK)

Ratings and Target Price History Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	31-Oct-23 13:44:26	*1	*31.00	23.38

*Indicates Change

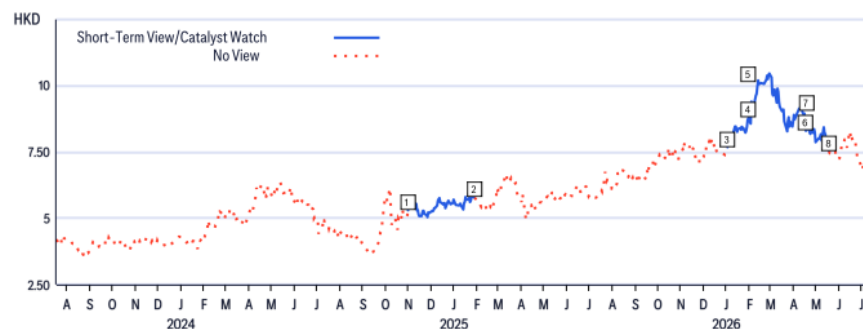
	Date	Rating	Target Price	Closing Price
2	31-Mar-26 23:04:20	1	*29.00	21.06

Rating/target price changes above reflect Eastern Time

Zoomlion Heavy Industry (1157.HK)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	31-Oct-24 09:07:46	Add STV	Upside	90 Days	5.30
2	29-Jan-25 22:14:17	Remove STV	Upside	90 Days	5.77
3	02-Jan-26 02:40:07	Add STV	Upside	90 Days	7.68

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
4	01-Feb-26 13:34:29	Remove STV	Upside	90 Days	8.77
5	01-Feb-26 13:34:29	Add CW	Upside	90 Days	8.77
6	17-Apr-26 04:59:00	Remove CW	Upside	90 Days	8.30

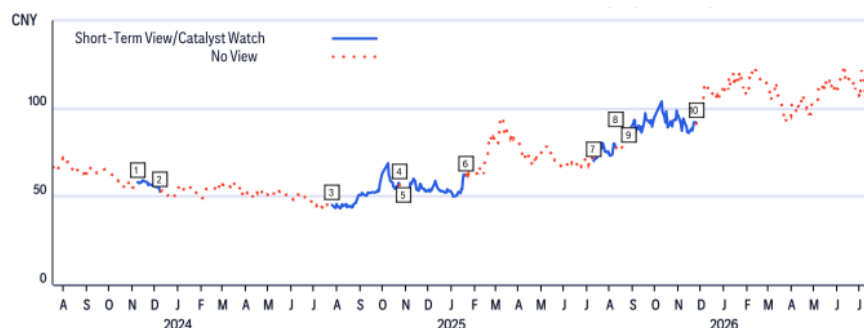
	Date	Action	Expected Direction	Duration	Closing Price
7	17-Apr-26 04:59:00	Add STV	Downside	30 Days	8.30
8	18-May-26 00:27:55	Remove STV	Downside	30 Days	7.52

Rating/target price changes above reflect Eastern Time

Hengli Hydraulic (601100.SS)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Nov-23 02:23:35	Add CW	Downside	30 Days	58.22
2	08-Dec-23 11:00:30	Remove CW	Downside	30 Days	52.77
3	25-Jul-24 02:08:49	Add STV	Upside	90 Days	45.28
4	23-Oct-24 23:28:11	Remove STV	Upside	90 Days	57.35

	Date	Action	Expected Direction	Duration	Closing Price
5	29-Oct-24 20:50:50	Add CW	Downside	90 Days	53.00
6	20-Jan-25 01:12:43	Remove CW	Downside	90 Days	61.91
7	10-Jul-25 04:48:00	Add CW	Upside	30 Days	70.20
8	08-Aug-25 14:18:06	Remove CW	Upside	30 Days	78.13

	Date	Action	Expected Direction	Duration	Closing Price
9	26-Aug-25 06:25:10	Add STV	Upside	90 Days	86.90
10	24-Nov-25 21:14:47	Remove STV	Upside	90 Days	92.06

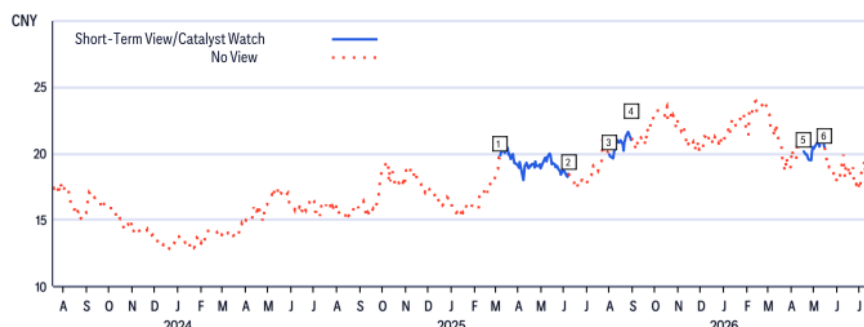
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Sany Heavy Industry (600031.SS)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	09-Mar-25 13:40:09	Add STV	Upside	90 Days	19.86
2	06-Jun-25 14:25:22	Remove STV	Upside	90 Days	18.47

	Date	Action	Expected Direction	Duration	Closing Price
3	31-Jul-25 06:24:31	Add STV	Upside	30 Days	19.94
4	29-Aug-25 14:16:29	Remove STV	Upside	30 Days	21.03

	Date	Action	Expected Direction	Duration	Closing Price
5	17-Apr-26 04:59:00	Add STV	Downside	30 Days	20.16
6	17-May-26 23:27:47	Remove STV	Downside	30 Days	20.46

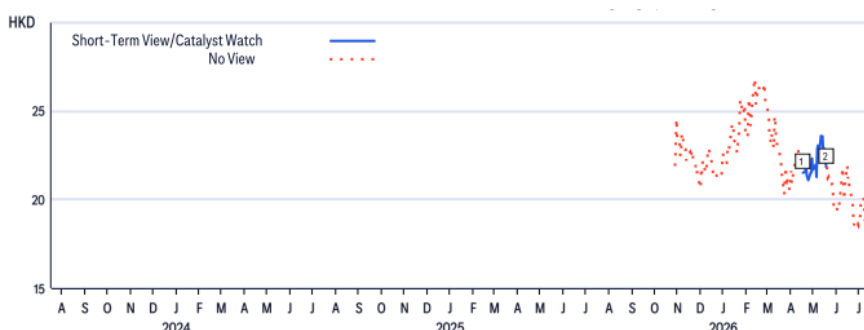
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Sany Heavy (6031.HK)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	17-Apr-26 04:59:00	Add STV	Downside	30 Days	21.52

	Date	Action	Expected Direction	Duration	Closing Price
2	18-May-26 00:27:46	Remove STV	Downside	30 Days	21.84

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Eric Lau; Jamie Wang

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